Harcourt Lyle Valuers Pty Ltd
Property valuation and advisory

Independent Valuation Report
Riverside Commons, Rhodes

Mortgage security valuation of 9 Marquet Lane, Rhodes NSW 2138: as is and as if complete

Prepared for Quillwood Credit Partners
Valuation date: 5 March 2026
Version 1.0, issued for lender reliance
Reference: HLV-SYD-2026-0305-RC
Date: 5 March 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Riverside Commons Pty Ltd
ABN	91 014 685 765
Sponsor	Kaiyo Living Group Pty Ltd (trading as Kaiyo Living)
Property	9 Marquet Lane, Rhodes NSW 2138 (registered office: Level 4, 12 Walker Street, Rhodes NSW 2138)
Proposed use	162 unit residential apartment development for sale
Valuation date	5 March 2026 (inspected 26 February 2026)
Prepared for	Quillwood Credit Partners
Prepared by	Harcourt Lyle Valuers Pty Ltd, Sydney
Version	1.0 Final

Valuation particulars

1. Executive summary

Quillwood Credit Partners has instructed Harcourt Lyle Valuers Pty Ltd to provide an independent valuation of the Riverside Commons site at Rhodes for first mortgage security purposes. The borrower, Riverside Commons Pty Ltd, is a single-purpose vehicle formed by Kaiyo Living to develop and sell 162 apartments in two buildings of 11 and 14 storeys above a shared basement. A senior secured construction facility of A$118.0M over 36 months is proposed, including the refinance of an existing A$18.0M land loan.

We have assessed the market value of the property on an as is basis at A$34.5M, and the market value on completion (gross realisation value, or GRV) at A$214.0M, exclusive of GST. Ninety-four of the 162 units, or 58%, were exchanged at 31 January 2026 for A$123.6M. We have adopted our own figures throughout this report. Where the information memorandum dated 10 February 2026 differs from independent advice, we have used the independent figure and set out the difference in Section 8.

Basis of value	A$M	Comment
Market value, as is	34.5	Site with consent, before construction
Market value on completion (GRV)	214.0	162 units, exclusive of GST
Contracted sales, 94 units	123.6	Exchanged to 31 January 2026
Unsold stock, 68 units, retail	90.4	GRV less contracted sales
Unsold stock, bulk sale range	74.1 to 79.6	12% to 18% discount to retail

Summary of values

On our GRV and the total development cost of A$171.6M, the development margin on cost is 24.7%. The proposed A$118.0M facility represents 55.1% of GRV and 68.8% of total development cost. The security is adequate on these figures, but the headroom depends on three variables that sit outside the borrower's control: end values at settlement, final construction cost and the time taken to reach practical completion. These are discussed in Sections 9 and 10.

2. Instructions and scope

We were instructed by Quillwood Credit Partners to value the property as security for a proposed senior secured construction facility. The valuation has been prepared in accordance with the Australian Property Institute Valuation Standards and the International Valuation Standards. Market value is defined as the estimated amount for which an interest in real property should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.

The scope includes:

- market value of the site as is, assuming the benefit of development consent granted on 20 March 2025;
- market value of the completed development, being the GRV, with a unit by unit analysis;
- a development feasibility to test the reasonableness of the total development cost and margin;
- a view on the value of unsold stock in a bulk sale; and
- comment on the risks that bear on the adequacy of the security.

We have relied on the information memorandum dated 10 February 2026, the financial statements provided on 20 February 2026, the development consent, the fixed price design and construct contract with Tallowood Construction Pty Ltd, the sales schedule maintained by Bellamy & Roe Projects Pty Ltd, and cost advice from Dunmore Fraser Quantity Surveyors Pty Ltd, the lender's project monitor. Dunmore Fraser has advised an assessed construction cost of A$98.4M. Its formal report is to be issued after the date of this valuation, and we have relied on that advice. Any material change in the final report should be referred back to us.

3. The property

3.1 Location and title

The site is at 9 Marquet Lane, Rhodes, on the southern bank of the Parramatta River in the City of Canada Bay local government area. Rhodes is a planned high density precinct with a railway station, a regional shopping centre and river foreshore open space. The area was previously an industrial precinct, and some of that history remains relevant to ground conditions, as noted in Section 10.

Riverside Commons Pty Ltd settled the purchase of the site on 14 August 2024 for A$34.2M, which was A$36.4M including stamp duty and costs. The purchase was funded by sponsor equity and an A$18.0M land loan from a mid-tier bank. We have assumed that the borrower holds clear title, free of encumbrances that would affect value, other than the existing land loan to be refinanced.

3.2 Planning and approvals

Development consent for 162 apartments in two buildings above a shared basement was granted on 20 March 2025. The approved scheme has a gross floor area of 15,640 sqm and a net saleable area of 12,050 sqm, a ratio of 77.0%. The two buildings are of 11 and 14 storeys. The basement provides 214 car spaces, or 1.32 spaces per apartment. We have not reviewed the conditions of consent in legal detail and have assumed that the pre-construction conditions can be satisfied in the ordinary course. Brannock Sutherland Lawyers, as counsel to the lender, should confirm this.

3.3 Proposed improvements

The development comprises one, two and three bedroom apartments. The mix adopted in our analysis is set out below. Areas and unit numbers are drawn from the approved scheme and the sales schedule, and the GRV by type is our assessment.

Type	Units	NSA sqm	GRV A$M	A$/sqm NSA
One bedroom	54	2,916	50.2	17,200
Two bedroom	84	6,468	109.2	16,900
Three bedroom	24	2,666	54.6	20,500
Total	**162**	**12,050**	**214.0**	**17,800**

Unit mix and gross realisation value

The average price across all units is A$1.32M. Contracted sales average A$1.31M per unit across the 94 units exchanged, which is consistent with the average adopted for the project as a whole.

4. Market overview

Rhodes sits within a corridor of high density river and parkland precincts that includes Wentworth Point and Olympic Park. Buyers treat these locations as substitutes, and sales evidence is drawn from all three. Recent completions and projects under construction in this corridor have added a material volume of new apartments. This bears directly on the pace of sales for the 68 unsold units and on the valuations that purchasers' lenders will form at settlement.

Demand for new stock at Rhodes is supported by proximity to the railway station and the foreshore, and by a mix of owner occupiers and investors. Investor demand is sensitive to rental yields and finance availability, and owner occupier demand is sensitive to serviceability. Both can move over the 28 month construction period, and we have not assumed market growth in our GRV. Values are stated at the valuation date.

5. Valuation methodology

We have used the direct comparison approach to assess end values on a rate per square metre of net saleable area, adjusted for unit type, floor level, aspect and finish. The as is value of the site has been assessed by direct comparison of englobo site sales, cross-checked by a residual (hypothetical development) analysis. The feasibility presented in Section 7 is used to test the reasonableness of the result, not to set it.

5.1 Gross realisation value

The following recent sales of new or near new stock were considered. Rates are on net saleable area and are shown to the nearest A$100.

Project	Locality	Stock	Period	A$/sqm NSA
Tidewater Residences	Rhodes	Two bedroom, upper levels	Q4 2025	18,100
Wharfside Rhodes	Rhodes	One and two bedroom	Q3 2025	17,600
Parkline	Wentworth Point	Two bedroom	Q4 2025	16,800
Marlow Square	Olympic Park	One and two bedroom	Q1 2026	17,300
Foreshore Terraces	Rhodes	Three bedroom	Q4 2025	20,200

Comparable sales of new apartments

Our adopted rates of A$17,200 per sqm for one bedroom units, A$16,900 per sqm for two bedroom units and A$20,500 per sqm for three bedroom units sit within the range of the evidence. The two bedroom rate is at the lower end of the range because two bedroom stock makes up 52% of the project by number and competes most directly with the supply at Wentworth Point and Olympic Park. The three bedroom rate reflects the premium for larger, higher level units and the limited number of three bedroom units, 24 in all, that will come to market.

The 94 contracted sales, at A$123.6M, give direct evidence for 57.8% of GRV by value. They were struck at contract prices in a campaign that began on 8 September 2025, an average of roughly 20 sales a month. Contract prices are not the same as value at settlement. The purchaser's lender will form its own valuation, and where it falls below the contract price the purchaser must find the shortfall or the sale may fail. We have not discounted the contracted units, but we have treated that risk when setting the rates for the 68 unsold units, which we value at A$90.4M.

5.2 Bulk sale value of unsold stock

If the lender were to enforce on a completed building with unsold stock, the 68 units would be sold more quickly than in an orderly campaign. In our opinion a bulk sale to an investor or a group of investors would achieve a discount of 12% to 18% to the retail value of A$90.4M, that is A$74.1M to A$79.6M. The discount would be higher in a weak market or if stock were sold in a single line with the buyer carrying the holding cost.

5.3 Market value as is

We have assessed the as is market value of the site at A$34.5M, exclusive of GST. This is A$2,206 per sqm of approved gross floor area and A$213,000 per approved apartment. It is A$0.3M above the price paid in August 2024 of A$34.2M, a small increase that reflects the consent granted since acquisition, partly offset by the weaker trend in site values for apartment projects.

As a cross-check, a residual analysis using our GRV and the costs in Section 7 gives a residual land value of A$36.0M including acquisition costs at a developer margin of 25% on cost. That equates to about A$33.8M before stamp duty and costs, within about 2% of our adopted value. The result is sensitive to the target margin, as shown below. Finance costs are held constant in this table for simplicity, so the table is a guide to sensitivity, not a precise measure.

Margin on cost	Residual incl. costs A$M	Residual before costs A$M
20%	43.1	40.5
25%	36.0	33.8
30%	29.4	27.6

Residual land value at varying developer margins

6. Quantity surveyor advice and programme

Tallowood Construction Pty Ltd signed a fixed price design and construct contract of A$91.2M on 12 December 2025. Dunmore Fraser has assessed the total construction cost at A$98.4M. The A$7.2M difference to the contract sum arises from provisional sum allowances, contingency and escalation. We have adopted A$98.4M in the feasibility, because any cost above the contract sum must still be funded by the borrower and so reduces the margin that protects the lender.

Dunmore Fraser forecasts 28 months from site start to practical completion. The information memorandum assumes 24 months. Against a 36 month facility tenor, a 28 month programme leaves 8 months for settlement of the apartments, against 12 months on the sponsor's programme. A shorter settlement window increases the risk that unsold or failed settlements are still outstanding at maturity, and a longer programme increases capitalised interest. We have included finance costs of A$17.0M in the feasibility, based on the cost plan provided to us. They should be re-tested against the lender's model once the facility terms are settled.

7. Development feasibility

The feasibility below uses the independent GRV of A$214.0M and the independent construction cost of A$98.4M. Costs other than land and construction are drawn from the cost plan provided to us and have been reviewed for reasonableness, not audited. Selling costs equate to 3.0% of GRV.

Item	A$M	Basis
Land including duty and costs	36.4	Settled 14 August 2024
Construction cost	98.4	Dunmore Fraser advice
Professional fees	6.0	Cost plan
Statutory charges and levies	5.4	Cost plan
Selling and marketing	6.4	3.0% of GRV
Finance costs	17.0	Cost plan, capitalised
Legal, insurance and other	2.0	Cost plan
Total development cost	**171.6**	**Sum of the above**

Total development cost

GRV of A$214.0M less total development cost of A$171.6M gives a profit of A$42.4M, or 24.7% on cost and 19.8% on GRV. A margin of this size is within the range we would expect for a stage of the project where the site has consent, a builder is engaged under a fixed price contract and over half the stock is contracted. The break-even GRV, at which profit is nil, is A$171.6M, a fall of 19.8% from our figure.

8. Comparison with the information memorandum

The information memorandum dated 10 February 2026 presents more favourable figures than the independent assessments. The table sets them side by side. The independent figures are used in this report.

Item	Information memorandum	Independent	Difference
Gross realisation value	A$228.0M	A$214.0M	A$14.0M (6.5%)
Construction cost	A$91.2M	A$98.4M	A$7.2M (7.9%)
Time to practical completion	24 months	28 months	4 months

Information memorandum and independent figures

The GRV in the information memorandum is 6.5% above ours. We do not have the sponsor's unit by unit schedule to the level needed to reconcile the A$14.0M difference, but we would expect it to arise mainly from higher assumed prices for the 68 unsold units. The information memorandum construction cost is the builder's contract sum, not the total cost the borrower is likely to bear. The programme difference is explained in Section 6.

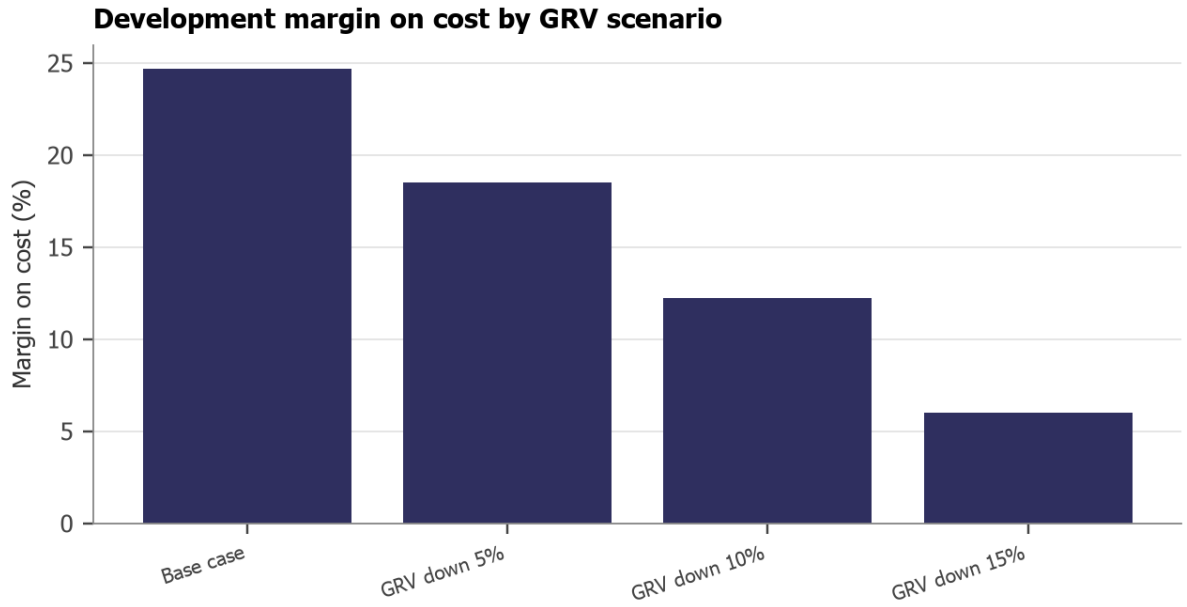
9. Sensitivity and security metrics

9.1 Sensitivity to end values

The table shows the effect of a fall in GRV on development margin and on the loan to value ratio at the proposed limit of A$118.0M. Total development cost is held at A$171.6M. Selling costs would fall slightly with lower prices, and no adjustment has been made for that.

Scenario	GRV A$M	Margin on cost	LVR on GRV
Base case	214.0	24.7%	55.1%
GRV down 5%	203.3	18.5%	58.0%
GRV down 10%	192.6	12.2%	61.3%
GRV down 15%	181.9	6.0%	64.9%

Sensitivity of margin and LVR to GRV



Margin on cost at total development cost of A$171.6M

A construction overrun has a similar effect. A 5% increase in the A$98.4M construction cost adds A$4.9M to total development cost and reduces the margin on cost from 24.7% to 21.2%, before any additional interest. The margin therefore absorbs a moderate cost overrun or a moderate fall in values, but not both at the upper end.

9.2 Security metrics

Measure	Result
Facility limit	A$118.0M
LVR on GRV (A$214.0M)	55.1%
Loan to total development cost	68.8%
Day one debt (A$18.0M) to as is value	52.2%
Contracted sales to facility limit	104.7%
Equity required	A$53.6M
Equity contributed to date	A$24.6M
Equity still to inject	A$29.0M
Debt to equity	2.2 times

Security and funding metrics

Contracted sales of A$123.6M exceed the facility limit by 4.7%, although these are gross contract values and not net of selling costs, GST or settlement failures. The borrower's financial statements show net debt of A$15.9M at 31 December 2025. A$29.0M of cash equity remains to be injected before the first construction draw. The lender's equity first structure addresses this, but the sponsor's other projects in delivery may compete for its liquidity.

10. Risks affecting the security

- End values and settlement. 68 units, or 42%, are unsold. Recent apartment supply at Rhodes, Wentworth Point and Olympic Park may lead purchasers' lenders to value units below contract price at settlement. Our GRV is A$14.0M below the sponsor's figure for this reason.
- Construction cost. The A$7.2M gap between the contract sum and the assessed cost is the borrower's exposure. Any overrun beyond the A$98.4M assessed falls on sponsor equity and then reduces the margin.

- Programme. A 28 month programme leaves 8 months within the 36 month tenor for settlements. A delay to practical completion compresses that window and increases capitalised interest.
- Builder counterparty. Tallowood Construction Pty Ltd carries a lump sum contract of more than A$90M. Builder insolvency is a recurring risk in the NSW sector, and security of performance is limited to bank guarantees of 5% of the contract sum. Replacing a builder part way through would add cost and delay not captured in this valuation.
- Site and environment. The site is close to the Parramatta River and a former industrial precinct. Flood planning levels, groundwater management during basement excavation and any residual contamination could increase cost or delay works. We were not given environmental or geotechnical reports and have not assessed these matters.
- Sponsor equity. The sponsor must inject A$29.0M before the first construction draw, in competition with other projects.

11. Assumptions and qualifications

- All values are exclusive of GST. We have assumed that the project is sold under the margin scheme, or otherwise on a basis that does not change the GRV materially. Tax advice should be taken.
- The valuation assumes that the building is completed in accordance with the consent and the design and construct contract, to a standard consistent with the sales brochures and the contracts of sale.
- We have not inspected the building plans in structural detail, tested the site, or checked services. We have assumed no contamination, native title or heritage matters, or unregistered interests, which would affect value.
- The as is value assumes the consent is valid and can be acted upon. It does not allow for any change to the consent.
- Market conditions can change quickly. The valuation is current at 5 March 2026 and should not be relied on after 90 days, or earlier if there is a material change in the market, the project cost or the programme, without our written confirmation.
- The final report from Dunmore Fraser is to follow. If it differs from the A$98.4M advised, our feasibility and commentary should be updated.
- This report is for Quillwood Credit Partners only and for the stated purpose. We accept no responsibility to any other party. It must not be reproduced in whole or in part without our written consent.

12. Valuation statement and sign-off

Subject to the assumptions and qualifications in this report, we assess the market value of 9 Marquet Lane, Rhodes NSW 2138, as at 5 March 2026, as follows: A$34.5M on an as is basis, and A$214.0M on a completion basis, in each case exclusive of GST. The total development cost on our assessment is A$171.6M, giving a margin on cost of 24.7%.

Prepared by	Marcus Ellery, Certified Practising Valuer, Director, Harcourt Lyle Valuers Pty Ltd
Reviewed by	Helena Rourke, Certified Practising Valuer, Senior Director, Harcourt Lyle Valuers Pty Ltd
Date of inspection	26 February 2026
Date of valuation and report	5 March 2026
Reference	HLV-SYD-2026-0305-RC

Valuer sign-off